

MGT411 MIDTERM MCQS

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Q.1 Which of the following is NOT included in the definition of M1?

- A. Currency
 - B. **Gold coins issued by treasury**
 - C. Traveler's checks
 - D. Demand deposits
-

Q.2 If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:

- A. \$96.10
 - B. \$94.00
 - C. \$95.25
 - D. **\$94.33**
-

Q.3 If a bond sells at premium, where price exceeds face value, then we would expect to see:

- A. **Market interest rates below the coupon rate**
 - B. Market interest rate the same as the coupon rate
 - C. All of the given options
 - D. Market interest rates above the coupon rate
-

Q.4 Consumer Price Index (CPI) measures the:

- A. Changes in the cost
 - B. Changes in the quantity
 - C. **Changes in the prices**
 - D. Changes in the profit
-

Q.5 The Pakistan Stock Exchange is considered a ----- because orders are routed to the exchange floor and then matched with an offsetting order.

- A. O. T. C Market
 - B. All of given options
 - C. Derivative Market
 - D. **Centralized Market**
-

Q.6 provide the platform to complete the trading of financial instruments.

- A. **Financial Markets**
- B. Central Banks
- C. Leasing Companies
- D. Financial Companies

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Q.7 Bonds that are issued by Government are called _____.

- A. Callable Bonds
 - B. **Government Bonds**
 - C. Corporate Bonds
 - D. Treasury Bonds
-

Q.8 Which of the following expression is true?

- A. **Expected Return = $P_1XR_1 + P_2XR_2 + \dots + P_nR_n$**
 - B. Expected Return = $P_1XR_1 / P_2XR_2 + \dots + P_n / R_n$
 - C. Expected Return = $P_1XR_1 + P_2XR_2 + \dots + P_n + R_n$
 - D. Expected Return = $P_1XR_1 - P_2XR_2 + \dots + P_n - R_n$
-

Q.9 You deposit money into your bank account, which of the following entry Bank will pass in its books of account?

- A. Debit your account
 - B. Debit the liability account
 - C. Reverse the entry
 - D. **Credit your account**
-

Q.10 How much prices are possible of 06 commodities in the barter system?

- A. 04
 - B. **15**
 - C. 06
 - D. 10
-

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Q.1 When the auto manufacturing industry does poorly due to a recession this is an example of:

- A. Idiosyncratic risk
 - B. **Systematic risk**
 - C. Unique risk
 - D. Risk premium
-

Q.2 Which of the following is considered more liquid market?

- A. Bond Market
 - B. None of given options
 - C. **Money Market**
 - D. Equity Market
-

Q.3 Which one of the following is the narrowest definition of money?

- A. **M1**
 - B. M3
 - C. M2
 - D. C
-

Q.4 Economic growth mostly depends upon -----.

- A. O T C markets
 - B. Commission based markets
 - C. **Well-developed markets**
 - D. Primary markets
-

Q.5 Wider the range of outcome wider will be the _____.

- A. Probability
 - B. **Risk**
 - C. Lose
 - D. Profit
-

Q.6 Fundamental concept in time value of money is -----.

- A. **Cash flow**
- B. Interest rate
- C. Time period
- D. Future value

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Q.7 Present value (PV) of bonds is determined by methodology of -----

- A. Profitability index
 - B. Future value
 - C. **Discounting**
 - D. Compounding
-

Q.8 Share price of PEL Corporation is decreased owing to bad management decisions, in your opinion which of the following Risk Company is facing?

- A. Market risk
 - B. Company risk
 - C. Systematic risk
 - D. **Idiosyncratic risk**
-

Q.9 Honda Company has been deprived from its skilled labor force which leads reduction in Net income. In your opinion which of the following Risk Company is facing?

- A. Systematic risk
 - B. **Company risk**
 - C. Idiosyncratic risk
 - D. Market risk
-

Q.10 When the profitability of textile industry goes down due to increase in the cost of raw material (Raw cotton), this is an example of

- A. Risk sharing
 - B. **Systematic risk**
 - C. Idiosyncratic risk
 - D. Risk premium
-

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Q.1 Financial development is measured by:

- A. All of above
 - B. M3/DGP
 - C. M2/GDP
 - D. M1/GDP
-

Q.2 Investment payoffs are generally represented in ----- returns instead of in ---- --.

- A. Rupees, dollars
 - B. Dollar, Rupees
 - C. **Percentage, amount**
 - D. Amount, percentage
-

Q.3 Traditional Whole Life Insurance Companies have ----- throughout life of the policy.

- A. Graded premium
 - B. Variable premium
 - C. Modified premium
 - D. **Constant premium**
-

Q.4 M3 includes

- A. **M2 plus large time deposits, repurchase agreements, institutional money market mutual fund balances**
 - B. M2 plus small time deposits, saving deposits and money market mutual funds
 - C. M2 plus demand deposit and traveler's cheques
 - D. M1 plus money market deposit accounts and other chequeable deposits
-

Q.5 _____ is the cost of using the borrowed money.

- A. Dividend
 - B. Amount of loan
 - C. Monthly premium
 - D. **Interest**
-

Q.6 Inflation rate in economy increases owing to excessive money supply. In your view which of the following Risk company is facing?

- A. Company risk
 - B. **Systematic risk**
 - C. Idiosyncratic risk
 - D. Unique risk
-
-

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Q.7 GDP deflator is 140 in current period and 115 was in preceding year. Estimate the inflation rate.

- A. 20%
 - B. 15%
 - C. 25%
 - D. **21.74%**
-

Q.8 What will be the investor's decision about a project if its internal rate of return is higher than the cost of capital?

- A. None of above
- B. Project is not profitable
- C. **Acceptance of project**
- D. Rejection of project

Q.9 The money that is used to start-up a new business is called -----

- A. Venture capital**
 - B. Funding
 - C. Investment
 - D. None of the given options
-

Q.10 If a bond sells at premium, where price exceeds face value, then we would expect to see:

- A. Market interest rates below the coupon rate**
 - B. Market interest rates above the coupon rate
 - C. Market interest rate the same as the coupon rate
 - D. All of the given options
-